

AMD (AMD US)

Solid Outlook, but Market Digesting High Expectations

Maintained **Buy**
Target price \$700

After-hour weakness amid high expectations: On Aug 4, AMD held its 2Q26 earnings call, with results and earnings meeting market expectations. However, investor expectation on AMD was high considering its share price resilience in the past one month, leading to the after-hour market weakness. Nevertheless, we remain bullish, backed by robust server CPU TAM, AMD's strong server CPU product cycle/ASP and MI450/MI500 share gains. During the call, mgmt. suggests its datacenter business will be well over 100% YoY in 2027, driven by both CPU and GPU/Helios. By factoring in results and guidance, we revise EPS estimates by +8%/+23% in 2026E/2027E and raise our TP from \$640 to \$700, still based on 45x 2027E EPS, implying 31.5x 2028E EPS.

Results & guidance: AMD reported 2Q26 revenue of \$11.5bn, +50% YoY, meeting market expectations and our forecast of \$11.4bn, driven by Datacenter segment. With inline margins, EPS of \$1.66 was slightly higher than consensus' \$1.62 and our estimate of \$1.65. For 3Q26, it guided revenue of \$13bn, higher than our estimate and consensus' \$12.5bn, driven by Datacenter and embedded business segments. Yet, gross margin guidance of 56% was below expectations, likely due to the ramp of MI450. For AI, mgmt. still expects Helios ramping in 3Q26/4Q26 with a further step-up in 1Q27.

Tracking substantially higher than L-T model: AMD suggests that its business is running ahead of its long-term model which is >35% revenue CAGR and EPS of >\$20 over the strategic period. We attribute the strength to its Datacenter GPU (backed by multi-GW agreement and strong products of MI450/Helios/MI500) and CPU (TAM expansion, share gains across hyperscalers and enterprise, Venice CPU, ASP expansion, etc). Margin wise, AI GPU margin is expected to remain at below-corporate level, due to its large-memory strategy, while CPU business expansion and embedded recovery could be drivers.

Rising supply chain confidence on AI GPU/racks: At top level, AMD reiterates its AI accelerator TAM forecast at \$1.4tn by 2030. For products, mgmt. believes its MI450/MI455X remain on track on schedule. Based on our supply chain research with major ODMs, Helios rack build plan is robust with likely >20k racks in 2H26-2027 driven by multi-GW agreement with Meta, Oracle and MSFT, yet, the further execution will depend on CoWoS supply. For MI500, we reiterate our view that it will be ahead of Nvidia's Rubin Ultra in GPU performance.

Risks: 1) AI demand slowdown; 2) new product delay; 3) peer competition.

Profit forecast

	2024	2025	2026E	2027E	2028E
Revenue (m)	25,785	34,639	54,279	88,384	122,659
Revenue YoY (%)	13.7	34.3	56.7	62.8	38.8
Net profit (m)	5,420	6,831	13,929	26,523	38,756
Net profit YoY (%)	26.0	26.0	103.9	90.4	46.1
EPS (\$)	3.3	4.2	8.4	15.7	22.2
P/E	107.4	85.1	61.7	32.9	23.3
ROE (%)	9.4	10.8	18.6	27.3	31.2

Source: Company data, GF Securities (Hong Kong) Brokerage.

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Earnings Forecast

2Q26 results largely inline

AMD delivered 2Q26 revenue of \$11.5bn, +13% QoQ/+50% YoY, topping prior guidance driven by broad-based strength across datacenter, client, gaming, and a recovering embedded segment. Gross margin came in at 56% supported by CPU business expansion and embedded recovery.

Segment-wise, client revenue grew 23% YoY to \$3.1bn driven by strong demand for AMD Ryzen processors, gaming revenue declined 31% YoY to \$779mn due to lower semi-custom business revenue, and embedded revenue grew 19% YoY to \$977mn as demand strengthened across key end markets including test, aerospace, and communications.

Mixed 3Q26 guidance

For 3Q26, it guided revenue of \$13bn, higher than our estimate and consensus' \$12.5bn, driven by Datacenter and embedded business segments. Yet, gross margin guidance of 56% was below expectations, likely due to the ramp of MI450.

Longer term, mgmt. suggests its datacenter business will be well over 100% YoY in 2027, driven by both CPU and GPU/Helios, and also reiterate its AI accelerator TAM forecast at \$1.4tn and server CPU TAM of over \$220bn by 2030 amid surging agentic AI demand.

Figure 1: 2Q26 Results Review

USD mn	2Q26	1Q26	QoQ	2Q25	YoY	GFHK	Diff	Cons.	Diff
Revenue	11,536	10,253	12.5%	7,685	50.1%	11,414	1.1%	11,312	2.0%
Gross profit	6,488	5,685	14.1%	3,326	95.1%	6,387	1.6%	6,345	2.3%
OPEX	3,394	3,145	7.9%	2,429	39.7%	3,300	2.8%	3,339	1.6%
Operating profit	3,094	2,540	21.8%	897	244.9%	3,087	0.2%	3,006	2.9%
Net profit	2,760	2,265	21.9%	781	253.4%	2,744	0.6%	2,666	3.5%
EPS (\$)	1.66	1.37	21.2%	0.48	245.8%	1.65	0.6%	1.62	2.5%
	ppt			ppt		ppt		ppt	
Gross Margin	56.2%	55.4%	0.8	43.3%	12.9	56.0%	0.2	56.1%	0.1
Operating Margin	26.8%	24.8%	2.0	11.7%	15.1	27.0%	-0.2	26.6%	0.2
Net margin	23.9%	22.1%	1.8	10.2%	13.7	24.0%	-0.1	23.6%	0.3

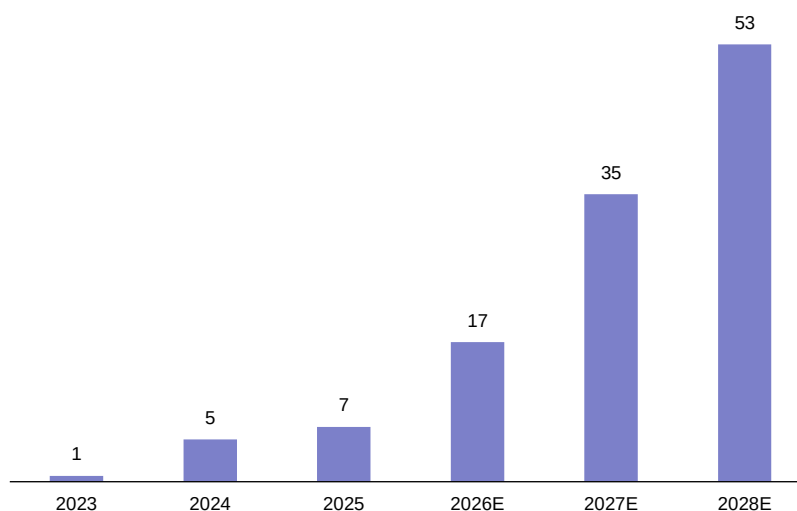
Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: AMD's AI GPU roadmap

	MI250	MI300A	MI300X	MI325X	MI355X	MI455X	MI550X
Launch	4Q21	4Q23	4Q23	4Q24	3Q25	3Q26	3Q27
GPU	CDNA2	CDNA3	CDNA3	CDNA3	CDNA4	CDNA5	CDNA6
Front-end node	N6	N5	N5x8, I/O N6x4	N5x8, I/O N6x2	N3Px8, I/O N6x2	N2x4, I/O N3x2	N2x8, I/O N3x4
Back-end process	CoWoS-S	SoIC+ CoWoS-S	SoIC+ CoWoS-S	SoIC+ CoWoS-S	SoIC+ CoWoS-S	SoIC+ CoWoS-L	SoIC+ CoWoS-L
Transistor (bn)	58.2	146	153	153	185	320	
Scale-up (uni-directional)	50GB/s	64GB/s	64GB/s	64GB/s	76.8GB/s	1700GB/s	CPO (optional)
HBM (GB)	HBM2e, 128GB	HBM3, 128GB	HBM3, 192GB	HBM3e, 256GB	HBM3e, 288GB	HBM4, 432GB	HBM4e, 768GB
Memory Bandwidth (TB/s)	3.2	5.3	5.3	6	8	19.6	
TDP	560W	750W	750W	1000W	1400W	2300W	

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: AMD's AI GPU revenue (USD bn)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings revision

By factoring in results, guidance and higher datacenter business YoY, we revise EPS estimates by +8%/+23% in 2026E/2027E

Figure 5: Earnings revision

USD m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	34,639	51,584	54,279	79,125	88,384	5%	12%
Gross profit	18,165	28,962	30,448	45,532	50,867	5%	12%
Operating profit	7,768	14,617	15,759	25,332	30,267	8%	19%
Pre-tax Income	6,663	14,205	14,509	25,600	30,487	2%	19%
Net profit	6,831	12,947	13,929	22,272	26,523	8%	19%
EPS (\$)	4.17	7.76	8.40	12.77	15.74	8%	23%
Key ratios (%)							
Gross margin	52.4%	56.1%	56.1%	57.5%	57.6%		
Operating margin	22.4%	28.3%	29.0%	32.0%	34.2%		
Pre-tax margin	19.2%	27.5%	26.7%	32.4%	34.5%		
Net profit margin	19.7%	25.1%	25.7%	28.1%	30.0%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 6: AMD's P&L forecast

(USD m)	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Sales	34,639	10,253	11,536	13,043	19,447	54,279	19,817	20,363	22,188	26,014	88,384
COGS	16,474	4,568	5,048	5,677	8,538	23,831	8,476	8,593	9,418	11,030	37,517
Gross profit	18,165	5,685	6,488	7,366	10,909	30,448	11,342	11,770	12,770	14,985	50,867
opex	10,397	3,145	3,394	3,650	4,500	14,689	4,700	4,900	5,200	5,800	20,600
Operating profit	7,768	2,540	3,094	3,716	6,409	15,759	6,642	6,870	7,570	9,185	30,267
Non-operating profit	-1,105	-613	-747	55	55	-1,250	55	55	55	55	220
Pre-tax profit	6,663	1,927	2,347	3,771	6,464	14,509	6,697	6,925	7,625	9,240	30,487
Income tax	-168	-338	-413	490	840	580	871	900	991	1201	3,963
Non-GAAP Net Income	6,831	2,265	2,760	3,281	5,623	13,929	5,826	6,025	6,634	8,039	26,523
Non-GAAP EPS (\$)	4.17	1.37	1.66	1.98	3.38	8.40	3.49	3.59	3.93	4.72	15.74
Diluted shares	1,637	1,650	1,659	1,661	1,666	1,659	1,671	1,676	1,689	1,703	1,685
Margin analysis											
Gross margin	52.4%	55.4%	56.2%	56.5%	56.1%	56.1%	57.2%	57.8%	57.6%	57.6%	57.6%
Operating margin	22.4%	24.8%	26.8%	28.5%	33.0%	29.0%	33.5%	33.7%	34.1%	35.3%	34.2%
Pre-tax margin	19.2%	18.8%	20.3%	28.9%	33.2%	26.7%	33.8%	34.0%	34.4%	35.5%	34.5%
Effective tax rate	-2.5%	-17.5%	-17.6%	13.0%	13.0%	4.0%	13.0%	13.0%	13.0%	13.0%	13.0%
Growth (% YoY)											
Sales	34%	38%	50%	41%	89%	57%	93%	77%	70%	34%	63%
Operating profit	28%	43%	245%	66%	125%	103%	161%	122%	104%	43%	92%
Net income	26%	45%	253%	67%	123%	104%	157%	118%	102%	43%	90%
EPS	26%	43%	247%	65%	121%	101%	154%	116%	99%	40%	88%
Product mix (%)											
Data Center	52%	56%	58%	62%	77%	66%	77%	75%	77%	82%	78%
Client	30%	28%	27%	24%	14%	22%	14%	15%	14%	11%	14%
Gaming	8%	7%	7%	5%	3%	5%	3%	4%	4%	3%	3%
Embedded	9%	9%	8%	9%	6%	8%	6%	6%	6%	5%	5%

Sources: Company data, GF Securities (Hong Kong) Brokerage

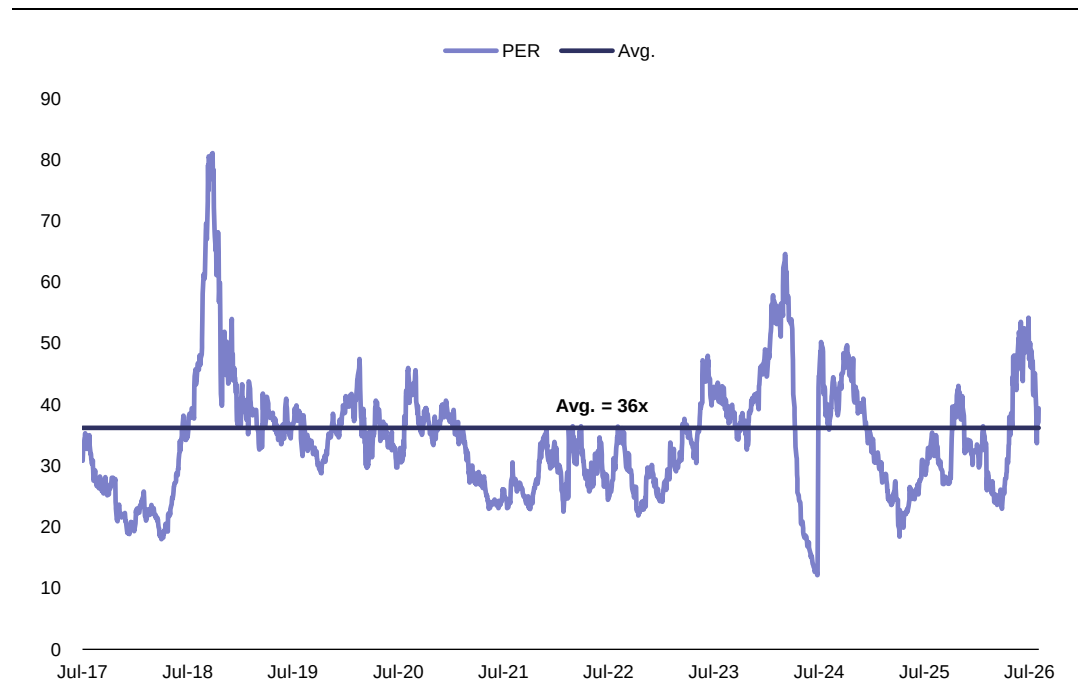
Valuation and Recommendation

Maintain Buy with TP up to \$700

We rate AMD (AMD US) Buy and set our TP at \$700, which is based on 45x our 2027E EPS, or 31.5x 2028E EPS estimate, to reflect its >50% earnings CAGR and enhanced competitive positioning into MI455 and agentic AI product cycle. We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook, and we usually apply P/E method to fabless firms.

AMD's P/E traded at an average of 36x since 2017 and 38x since 4Q22, when the AI cycle started. Our target price multiple is slightly higher than the average level of its AI cycle, despite the fact that the average P/E was distorted by the overly optimistic sentiment of its MI300 cycle in 4Q23-1H24. Further upside or downside to valuation remains the margin trends and how the company executes the MI455 including the rack solution.

Figure 7: AMD's 12-month forward P/E



Risks

1) AI demand slowdown; 2) new product delay; 3) peer competition.

Balance Sheet						USD mn
	2024	2025	2026E	2027E	2028E	
Current assets	19,049	26,947	35,654	51,971	76,859	
Cash and cash equivalents	5,132	10,552	10,917	12,310	22,411	
Inventory	5,734	7,920	11,457	18,037	24,438	
Accounts Receivable	6,192	6,315	9,895	16,113	22,362	
Other current assets	1,991	2,160	3,385	5,511	7,649	
Non-current assets	50,177	49,979	64,791	71,291	77,791	
Long-term equity investment	149	-	11,000	16,000	21,000	
Fixed assets	2,425	2,312	6,124	7,624	9,124	
Other long-term assets	47,603	47,667	47,667	47,667	47,667	
Total assets	69,226	76,926	100,445	123,262	154,650	
Current liabilities	7,281	9,455	16,533	22,440	29,361	
Accounts Payable	2,466	2,929	4,237	6,670	9,038	
Short-term borrowings	-	874	3,440	1,348	310	
Other current liabilities	4,815	5,652	8,857	14,421	20,014	
Non-current liabilities	4,377	4,472	9,088	3,676	988	
Long-term Debt	1,721	2,348	8,026	3,145	722	
Other non-current liabilities	2,656	2,124	1,062	531	266	
Total liabilities	11,658	13,927	25,621	26,116	30,349	
Total Equity	57,568	62,999	74,825	97,146	124,301	
Share Capital	61,379	63,382	62,280	61,081	59,481	
Additional Paid-in Capital	-6,106	-7,079	-8,081	-11,083	-21,085	
Retained earnings	2,295	6,696	20,625	47,149	85,905	
Minority interests	-	-	-	-	-	
Total Liabilities & Equity	69,226	76,926	100,445	123,262	154,650	

Income Statement						USD mn
	2024	2025	2026E	2027E	2028E	
Revenue	25,785	34,639	54,279	88,384	122,659	
Cost of sales	12,026	16,474	23,831	37,517	50,831	
Gross profit	13,759	18,165	30,448	50,867	71,828	
Operating Expense	7,621	10,397	14,689	20,600	27,500	
Operating profit	6,138	7,768	15,759	30,267	44,328	
Interest Income	-	-	-	-	-	
Interest Expense	92	36	-114	-80	-80	
Net other Non-op. Income/(Loss)	-1,436	-1,069	-1,364	140	140	
Pre-tax profit	4,610	6,663	14,509	30,487	44,548	
Income tax	-810	-168	580	3,963	5,791	
Profit for the year	5,420	6,831	13,929	26,523	38,756	
Minority interest	-	-	-	-	-	
Net profit to ord. equity	5,420	6,831	13,929	26,523	38,756	
EPS (\$)	3.3	4.2	8.4	15.7	22.2	

Cash Flow Statement						USD mn
	2024	2025	2026E	2027E	2028E	
Operating cash flow	3,041	7,709	13,221	22,838	35,648	
Profit for the year	5,420	6,831	13,929	26,523	38,756	
Depreciation & amortization	3,064	3,004	3,121	3,240	3,718	
Change in working capital	-685	-3,882	-3,829	-6,926	-6,827	
Others	-4,758	1,756	-	-	-	
Investing cash flow	-1,101	-5,533	-17,933	-9,740	-10,218	
Capex	-3,267	-2,891	-6,933	-4,740	-5,218	
Change in investment	-50	149	-11,000	-5,000	-5,000	
Others	2,216	-2,791	-	-	-	
Free cash flow	1,940	2,176	-4,712	13,098	25,429	
Financing cash flow	-2,062	-431	5,078	-11,705	-15,328	
Change in Capital	-3,744	-1,400	-2,104	-4,202	-11,601	
Net Change in Debt	-1,282	1,501	8,243	-6,972	-3,461	
Others	2,964	-532	-1,062	-531	-266	
Exchange influence	-	-	-	-	-	
Net increase in cash	-122	1,745	365	1,393	10,101	

Key Financial Ratios					
	2024	2025	2026E	2027E	2028E
Growth (%)					
Revenue growth	13.7	34.3	56.7	62.8	38.8
Operating profit growth	26.5	26.6	102.9	92.1	46.5
Net profit growth	26.0	26.0	103.9	90.4	46.1
Profitability (%)					
Gross profit margin	53.4	52.4	56.1	57.6	58.6
Operating Profit Margin	23.8	22.4	29.0	34.2	36.1
Net profit margin	21.0	19.7	25.7	30.0	31.6
Key Ratio (%)					
ROA	7.9	9.3	15.7	23.7	27.9
ROE	9.4	10.8	18.6	27.3	31.2
Stability					
Gross debt/equity	3.0	5.1	15.3	4.6	0.8
Interest Coverage	51.1	186.1	-126.3	-380.1	-555.8
Current Ratio	2.6	2.9	2.2	2.3	2.6
Quick Ratio	1.8	2.0	1.5	1.5	1.8
Net debt/equity	Net cash	Net cash	Net cash	Net cash	Net cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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